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May 13th, 2026

BLUEGRASS CAPITAL RESEARCH

American Express Co.

$AXP: A 'Platinum' Opportunity

Despite a premium customer base with lower delinquency rates and higher income & FICO scores, the market continues to reprice American Express alongside competitors Visa and MasterCard, failing to distinguish its high-FICO, high-spend cardmember base and the structural earnings power of its closed-loop network and co-brand franchise. **We initiate with a BUY rating and a 12-month price target of $361.**

Thesis Point 1: *American Express' premium customer base is structurally more resilient to credit cycles than the market prices in.* American Express stock tends to be repriced alongside broadly-based consumer credit fears (Visa/MasterCard) during economic uncertainty; however, the market fails to take into consideration AmEx's high-spend, high-FICO customer base, which has a lower overall default rate than the average Visa/MasterCard holder. Management has repeatedly highlighted on earnings calls that its customer base continues to spend through mild downturns with minimal deterioration in delinquency. AmEx's premium customer base allows the company to remain resilient in times of recession and economic downturns.

Thesis Point 2: *The partnership with Delta Airlines is a structural earnings driver that the market underestimates as a simple marketing arrangement, when it is an irreplaceable customer acquisition engine.* American Express' largest strategic partnership is with Delta Airlines, which collaborates with them to offer Delta/AmEx joint credit cards, where the holder receives extra perks when booking Delta flights and may be incentivized to spend through the offer of points. The Delta cobrand portfolio accounts for over 13 percent of AmEx's worldwide billed business, and over 21 percent of worldwide cardmember loans as of December 31, 2025. The exclusivity of the arrangement combined with Delta's dominant position in premium air travel creates a powerhouse that competitors cannot replicate without a comparably positioned airline partner. The market fails to price in this agreement in its valuation of AmEx and instead sees it as a simple marketing agreement, when it drives a significant portion of AmEx's worldwide business.

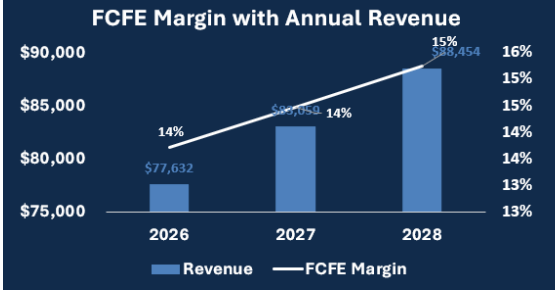
Company Overview: American Express is a global leader in issuing charge and credit cards for small businesses & individuals, mid-size companies, and large corporations, and operates one of the largest international payment networks in the world. The company's business model primarily focuses on generating revenue from card spending and secondarily on collecting transactional and product fees. American Express primarily operates in four segments: US consumer services, commercial services, international card services, and global merchant & network services. This integrated, closed-loop model is a core differentiator, as it allows AmEx to capture economics on both sides of a transaction, whereas competitors Visa and MasterCard must use a third-party bank for the capture of payments. The company's main product is its range of credit/charge cards, which are tiered and include perks such as statement credits, discounts with partner merchants, and incentives for travel. Despite American Express' focus on high-spending individuals, it is strategically shifting toward a younger demographic while maintaining its premium positioning.

AMERICAN EXPRESS

TICKER:	$AXP
RATING:	BUY
PRICE:	$309.61
PRICE TARGET:	$361.93
MARKET CAP:	$215.64bn
52-W RANGE:	$281.46 - $387.49
NTM P/E:	20.0x
IMPLIED UPSIDE:	15.72%







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Risk 1: A major driver of American Express' business is their partnerships with other companies, especially Delta Airlines. While the Delta-AmEx agreement runs through 2029, a deterioration in Delta's brand, financial health, or loyalty program engagement (as occurred in 2023 when they restructured SkyMiles and faced significant backlash) could meaningfully suppress co-brand returns. This could also be a risk factor with other companies AmEx is partnered with, as AmEx co-issued cards are tied to the other company, which is outside AmEx's control.

Risk 2: While AmEx's high-income customer base does insulate it from subprime credit stress, a prolonged downturn concentrated at the upper end of the income distribution would hit AmEx disproportionately compared to Visa/MasterCard. T&E spending, which skews heavily toward AmEx's premium cardmember base, is among the most cyclically sensitive spend categories, and a downturn in T&E would be negative for AmEx.

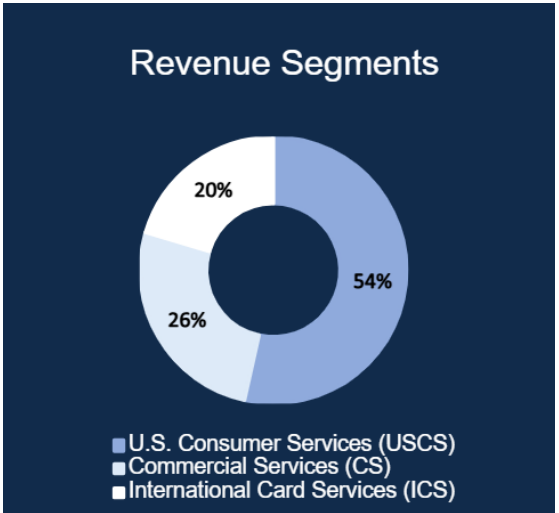
Catalysts: Near term catalysts for AmEx are centered around their International Card Services division, which is currently faced with a significant opportunity to increase margins relative to the domestic card services division. Management has identified a clear goal of expanding international operations, particularly in Latin America and the Asia-Pacific markets.

Valuation - Price Target of $361

FCFE Analysis ($mm)	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031
	12/31/2026	12/31/2027	12/31/2028	12/31/2029	12/31/2030	12/31/2031
Net Interest Income	18,406	19,437	20,447	21,429	22,372	23,266
NII Growth	*6.0%*	*7.2%*	*7.4%*	*7.6%*	*7.8%*	*8.0%*
Non-Interest Income	58,706	62,932	67,589	72,726	78,399	84,671
Non-Int Income Growth	*7.0%*	*7.2%*	*7.4%*	*7.6%*	*7.8%*	*8.0%*
Total Net Revenue	77,111	82,369	88,037	94,155	100,770	107,937
Revenue Growth	*6.8%*	*6.8%*	*6.9%*	*6.9%*	*7.0%*	*7.1%*
(–) Provision for Loan Losses	4,978	5,081	5,161	5,216	5,243	5,243
Provision % of Avg Loans	*3.00%*	*2.90%*	*2.80%*	*2.70%*	*2.60%*	*2.50%*
(–) Operating Expenses	54,822	58,275	61,991	65,993	70,308	74,966
Efficiency Ratio	*76.0%*	*75.4%*	*74.8%*	*74.2%*	*73.6%*	*73.0%*
Pre-Tax Income	17,312	19,013	20,885	22,946	25,219	27,727
Pre-Tax Margin	*22.5%*	*23.1%*	*23.7%*	*24.4%*	*25.0%*	*25.7%*
(–) Income Taxes	3,722	4,088	4,490	4,933	5,422	5,961
Effective Tax Rate	*21.5%*	*21.5%*	*21.5%*	*21.5%*	*21.5%*	*21.5%*
Net Income	**13,590**	**14,925**	**16,394**	**18,013**	**19,797**	**21,766**

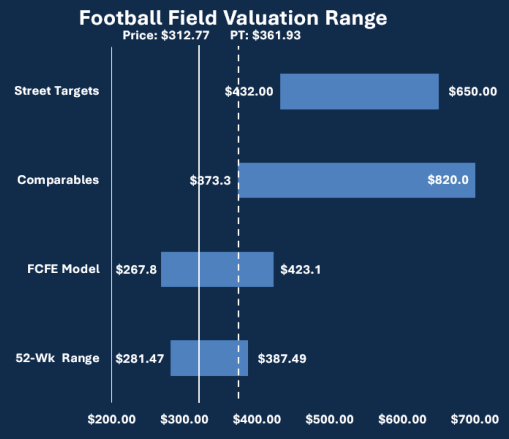
Our base-case 10-year FCFE projection models AmEx as the hybrid it is: a premium payment network with a captive lending book, and arrives at a price target of $361. The model projects Total Net Revenue growing at 6.8% in FY2026, and accelerating to 7.1% by FY2031, driven by card fee expansion and non-interest income growth from co-brand partnerships. We hold the Efficiency Ratio at ~73–76% and keep the Effective Tax Rate at 21.5%, consistent with LTM actuals, implying a Net Income CAGR of ~9.9% through FY2031.

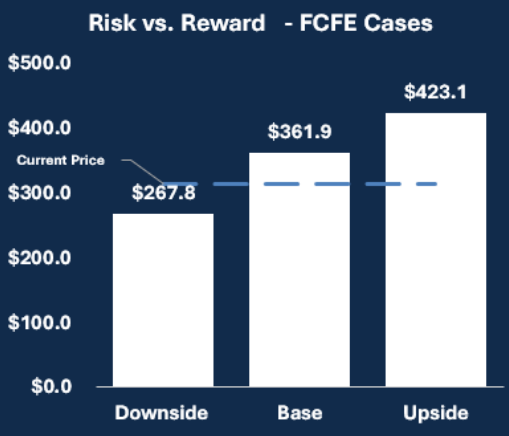
Conclusion: In American Express, investors can find an opportunity to own a premium financial franchise that the market misprices with mass-market lenders. The unique network and high-FICO customer base form a resilient earnings engine that has below-average delinquency. **We initiate $AXP with a BUY rating and a price target of $361, representing 15.7% upside over the next year.**



DCF Valuation Summary

2031 FCFE	$18,379
Terminal Growth	3.00%
Cost of Equity	9.12%
Terminal Value	**$309,504**
PV of Terminal Value	**$184,183**
PV of Projection Period	$62,775
PV of Terminal Value	$184,183
Implied Equity Value	**$246,958**
Basic Shares Outstanding (mm)	682.3
Implied Share Price	**$361.93**
Current Share Price	$312.78
Upside / (Downside)	**15.7%**





Bluegrass Capital Research

Income Statement ($mm)	2025A	2026E	2027E	2028E	2029E	CAGR%
Total Net Revenue	72,229	77,111	82,369	88,037	94,155	6.9%
Net Interest Income	17,364	18,406	19,437	20,447	21,429	5.4%
Pre-Tax Income	13,655	17,312	19,013	20,885	22,946	13.9%
Net Income	10,833	13,590	14,925	16,394	18,013	13.6%

Margin & Growth Data	2025A	2026E	2027E	2028E	2029E	AVG%
Net Income Margin	15.0%	17.6%	18.1%	18.6%	19.1%	17.7%
Efficiency Ratio	79.6%	76.0%	75.4%	74.8%	74.2%	76.0%
Revenue Growth	9.5%	6.8%	6.8%	6.9%	6.9%	7.4%
Net Income Growth	7.0%	25.5%	9.8%	9.8%	9.9%	12.4%

Valuation Metrics	2025A	2026E	2027E	2028E	2029E	AVG%
P/E	19.5x	15.5x	14.2x	12.9x	11.7x	14.8x
P/B	6.3x	6.0x	5.6x	5.4x	5.1x	5.7x
ROE	34.0%	39.4%	40.9%	42.6%	44.6%	40.3%
FCFE Yield	5.1%	5.5%	6.1%	6.8%	7.6%	6.2%

Comparable Companies

$mm

Ticker	Mkt Cap	EV	P/E LTM	Revenue LTM	EBITDA LTM
Visa	$614,944	$625,535	28.5x	$43,027	$30,143
MasterCard	$441,624	$452,210	29.0x	$33,939	$21,377
Captial One Financial	$114,321	$87,770	65.0x	$36,311	$39,035
SoFi	$20,396	$20,000	37.0x	$3,908	$1,727
American Express	$214,462	$270,629	20.0x	$68,812	$27,747

Ticker	LTM EV/EBITDA	Gross Margin	EBITDA Margin	EBIT Margin	1 Yr Rev Growth Rate LT
Visa	20.8x	97.8%	70.1%	67.1%	14.4%
MasterCard	21.2x	100.0%	63.0%	59.5%	16.8%
Captial One Financial	2.2x	78.1%	70.8%	45.1%	52.3%
SoFi	11.6x	83.5%	31.0%	29.6%	41.0%
American Express	9.8x	62.8%	19.4%	17.1%	11.6%

High	21.15x	100.0%	70.8%	67.1%	52.3%
75th Percentile	20.75x	97.8%	70.1%	59.5%	41.0%
Average	13.09x	84.4%	50.9%	43.7%	27.2%
Median	11.60x	83.5%	0.0%	45.1%	16.8%
25th Percentile	9.75x	78.1%	31.0%	29.6%	14.4%
Low	2.20x	62.8%	19.4%	17.1%	11.6%

American Express		
Implied Enterprise Value (25th Percentile)	$	270,629
Implied Enterprise Value (Median)	**$**	**321,859**
Implied Enterprise Value (75th Percentile)	$	575,802
Implied Share Price (25th Percentile)	$	372.76
Implied Share Price (Median)	**$**	**447.84**
Implied Share Price (75th Percentile)	$	820.01

FCFE 2031	
Net Income	$20,770
Total Assets (EOP)	$450,077
Δ Total Assets	$21,432
(×) Target Equity / Assets	11.16%
(–) Reinvestment in Equity	$2,391
FCFE	**$18,379**
Discount Period	5.95
PV of FCFE	**$10,937**

Downside Case: Our downside case assumes a macro-driven deterioration in T&E that pressures AmEx's premium cardmember base. We model USCS growth decelerating to 6% in FY2026 and ICS growth stalling at 2% annually, with provision rates rising to 4% of average loans as credit quality softens. Under these conditions, we arrive at a downside price target of $267, implying 14% downside from current levels.

Upside Case: Our upside case assumes AmEx's international expansion accelerates meaningfully, particularly in Latin America and Asia-Pacific markets while the younger demographic strategy drives a new wave of card fee and co-brand monetization ahead of schedule. We model USCS growth at 15% in FY2026 and ICS growing at a steady 7% through FY2031. We arrive at an upside price target of $423, implying 35% upside from current levels.

Disclosures and Ratings: Bluegrass Capital Research does not hold any professional relationships with the securities mentioned in this report. Our ratings are defined as follows: **Buy** (expected to outperform the market), **Hold** (expected to perform in line with the market), and **Sell** (expected to underperform the market), typically over a 12-month horizon. This report is for educational and informational purposes only and should not be considered as financial advice.